



Iron and Steel Act 1972

1972 CHAPTER 12

An Act to make new provision with respect to the finances of the British Steel Corporation and to clarify the Corporation's powers and duties in respect of iron and steel activities. [1st March 1972]

BE IT ENACTED by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

Amendments
as to finances
of British Steel
Corporation.
1969 c. 45.

1.—(1) Section 2(1) of the Iron and Steel Act 1969 (under which the Secretary of State is deemed to have paid the British Steel Corporation £700,000,000 by way of public investment otherwise than by way of loan) shall be amended by substituting “£500,000,000” for “£700,000,000”; and the like amendment shall be made in section 6(3)(b) of that Act (which provides that in the event of the expiry of the provisions of that Act relating to such public investment as aforesaid the Corporation shall assume a debt to the Secretary of State equivalent to the amount of that investment).

1967 c. 17.

(2) The Secretary of State may with the consent of the Treasury, at such time or times as he may with the like consent determine, release the Corporation from their liability to repay the whole or any part of any sum borrowed by them before the passing of this Act under section 19(2) of the Iron and Steel Act 1967 (long term loans), but not so as to reduce their total indebtedness in respect of the principal of sums so borrowed by more than £150,000,000; and the assets of the National Loans Fund shall accordingly be reduced by amounts corresponding to those which the Corporation cease to be liable to repay by virtue of this subsection.

(3) In section 3 of the said Act of 1969 (which provides that the aggregate of the amount outstanding in respect of the principal of money borrowed by the Corporation and the publicly-owned companies, together with any sums paid to the Corporation under section 2(1) of that Act, shall not at any time exceed an amount which at the passing of this Act stands at £650,000,000) for the words from "shall not at any time exceed" to the end of the section there shall be substituted the words "shall not at any time exceed £1,250,000,000".

2.—(1) Nothing in sections 2 and 3 of the Iron and Steel Act Corporation's 1967 (powers and general duty of British Steel Corporation) shall be construed as imposing on the Corporation any duty to carry on, or secure the carrying on by the Corporation and publicly-owned companies, of iron and steel activities except to such extent as the Corporation think fit, or as precluding the Corporation from disposing of an asset used or capable of use for the purpose of any of those activities or from disposing of any interest in a company in which any such asset is vested.

powers and
duties in
respect of
iron and steel
activities.
1967 c. 17.

(2) In this section "iron and steel activities" and "publicly-owned companies" have the same meaning as in the said Act of 1967.

3.—(1) This Act may be cited as the Iron and Steel Act 1972.

Short title
and extent.

(2) This Act does not extend to Northern Ireland.